

Subject Description Form

Subject Code	AF3111
Subject Title	Intermediate Accounting 2
Credit Value	3
Level	3
Normal Duration	1-semester
Pre-requisite / Co-requisite/ Exclusion	Pre-requisite: Intermediate Accounting 1 (AF3110)
Objectives	This subject contributes to the achievement of the BBA Outcomes by enabling students to demonstrate a global outlook in the context of business (Outcome 2), obtain sufficient financial accounting skills and knowledge to make an immediate contribution to their employers (Outcome 11) and analyse financial reports (Outcome 7) prepared according to Hong Kong Financial Reporting Standards and Companies Ordinance.
Subject Learning Outcomes	Upon completion of the subject, students will be able to: - apply and evaluate the accounting standards generally accepted in Hong Kong for major items of the statement of financial position. (BBA Outcome 8 and 14) - compare the conceptual understanding and practical application skills in corporate financial reporting in a global context. (BBA Outcome 8 and 14) - apply analytical skills and critical thinking on key accounting issues. (BBA Outcome 11)
Subject Synopsis/ Indicative Syllabus	Financial Liabilities Financial instrument; Classification of financial liability; Initial recognition and subsequent measurement of financial liability; Distinction of financial liability from equity instrument; Financial liability with the characteristic of equity; Split accounting for the compound instrument. Provisions, Contingent Liabilities and Contingent Assets Distinction between accruals, provisions and contingent liabilities; Definition, recognition and measurement of provision, contingent liabilities and contingent assets; Change in provisions; Restructuring provision; Provision for onerous contracts. Leases Classification of lease from the lessor's perspective; Accounting for lessee on a single lease model and lessor on finance and operating leases; Sales and leaseback arrangements; Leasehold property. Income Taxes Introduction to profit tax calculation; Permanent and timing difference; Over- and under-provisions; Conceptual basis for recognition of temporary difference and tax base; Determination of deferred tax asset and deferred tax liability; Recognition criteria for deferred tax asset and deferred tax liability; Deferred tax on revaluation of non- current asset and financial asset.

	Fair Value Measurement Definition; Fair value measurement; Fair value measurement at initial recognition; Valuation techniques; Fair value hierarchy; Disclosure. Share-based Payments Equity-settled share-based payments; Performance condition affecting equity-settled share-based payments; Effect on change in performance vesting condition; Cash-settled share-based payments; Share-based payments with choice of settlement Earnings per Share Importance and reason for standardization in earnings per share (EPS) calculation; Basic EPS with change in the capital; Diluted EPS with convertible instruments; Order of dilutive factors. Others Shareholders' Equity; Background of Companies Ordinance; Distributable profits. Code of Ethics. Ethical Concerns of AI in Financial Reporting.							
Teaching/Learning Methodology	In the seminars, the general principles of the syllabus topic will be presented and developed, together with guidance on further reading and activities. Furthermore, students will develop and apply the general principles of the topic in student-centred activities.							
Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d		
	Continuous Assessment	50%						
	1. Attendance/Participation	5%	✓	✓	✓	✓		
	2. Assignments	15%	✓	✓	✓	✓		
	3. Discussions	5%	✓	✓	✓	✓		
	3. Test	15%	✓	✓	✓	✓		
	4. Essays	10%	✓	✓	✓	✓		
	Final Examination	50%	✓	✓	✓	✓		
	Total	100 %						
To pass this subject, students are required to obtain Grade D or above in both the Continuous Assessment and Examination components.								

Student Study Effort Expected	Class contact:	
	▪ Lectures	26 Hrs.
	▪ Tutorials	13 Hrs.
	Other student study effort:	
	▪ Review lecture and reference materials (12 weeks × 3 hours)	36 Hrs.
	▪ Prepare assignments/discussions/test and essays (10 weeks × (3 hours + 0.5 hour) + 10 hours + 2 weeks × 3 hours)	51 Hrs.
	Total student study effort	126 Hrs.
Reading List and References	References Patrick Ng and Ng Eng Juan, Hong Kong Master GAAP Guide, Latest Edition, CCH Asia. Maynard, J., Financial Accounting, Reporting and Analysis, Latest Edition, Oxford Loftus, Leo, Daniliuc, Boys, Luke, Ang, Byrnes: Financial Reporting, Latest Edition, John Wiley & Sons, Inc. Ernst & Young, International GAAP, Latest Edition – Generally Accepted Accounting Practice Under International Financial Reporting Standards, Latest Edition, Wiley. Picker, Clark, Dunn, Kolitz, Livne, Loftus, Van Der Tas, Applying IFRS Standards, Latest Edition, John Wiley & Sons, Inc. Spiceland, Sepe, Nelson, Tan, Low & Low, Intermediate Accounting: IFRS Edition, Latest Edition, McGraw-Hill. Kieso, Intermediate Accounting: IFRS Edition, Latest Edition, John Wiley & Sons, Inc. Hong Kong Institute of Certified Accountants (HKICPA), Hong Kong Financial Reporting Standards and Hong Kong Accounting Standards. (Available at the HKICPA website: https://www.hkicpa.org.hk/en/Standards-and-regulation/Standards/Members-Handbook-and-Due-Process/HandBook)	